

PRISM · PREDICTIVE RESEARCH INTELLIGENCE & SYNTHESIS MACHINE

Vail Resorts, Inc. (MTN) — Valuation, Forecast & Positioning

A single-stock deep dive on the Epic Pass franchise: where a capital-intensive, subscription-wrapped ski operator should trade, what drives it, who it competes with, and where the price could go — with weather as the wildcard.

Ticker MTN Sector Consumer Discretionary As of 2026-07-13 · \$151.47

ROIC 12.4% vs WACC ~8% Content hash f50b58623b20440c Status Reviewed draft · sign-off pending

Governance & guardrails. Research only — **not investment advice** (Ethics 3.30). Valuation is mechanical peer arithmetic; forecasts are scenario anchors with wide, partly unquantified uncertainty. Data via yfinance; historical multiples reconstructed from annual statements. Forecast on a near-random-walk series (ADF $p \approx 0.461$); Monte Carlo embeds recovery-period drift. Qualitative sections reflect analyst knowledge and must be re-verified.

EXECUTIVE BRIEF

Vail Resorts is the rare name in this series that already earns its keep — 12.4% ROIC against an ~8.5% cost of capital — so the debate is not whether it creates value but how much you pay for it. At ~\$151, near its 52-week high, the stock trades at a clear premium to what its experiential-leisure and lodging peers imply (blended fair value ~\$112–121). The premium is the market paying up for the Epic Pass moat, irreplaceable trophy real assets, and a ~5.9% dividend — into a season where pass units are running down ~10% after one of the worst western snow years on record. Quality business, full price, weather-dependent catalyst.

- A genuine value creator, unlike the turnaround names: ROIC 12.4% sits ~3.9 points above the ~8.5% cost of capital — below asset-light hotel franchisers (Marriott 24.9%, Hilton 28.0%) as you'd expect for an owner of capital-heavy mountains, but above the cruise operators (Carnival 9.7%), timeshare names (Travel+Leisure 8.9%),

Hilton Grand Vacations 4.0%) and Six Flags (FUN, -18.2%), and roughly level with the parks/fitness set (United Parks 14.8%, Planet Fitness 14.5%).

- Priced at a premium to peers: at ~\$151 (RSI 68.7, %B 99, within 2% of the 52-week high) the stock trades above its segment-weighted, peer-implied fair value of ~\$112 (profit-weighted) to ~\$121 (revenue-weighted). The Mountain segment through the broadened experiential-leisure lens (parks + cruise + membership) implies ~\$108; the market pays up for moat and scarcity.
- The multiple picture is mixed and lens-dependent: 11.6x EV/EBITDA is right in line with the leisure/lodging peer set (11.9x), but 24.0x forward P/E is ~70% above the cruise-heavy subsector median (14.1x), and 32.6x trailing is rich (peers 19.3x) on visitation-depressed earnings. The standout is a ~5.9% dividend yield versus a ~1.6% peer median.
- The Epic Pass is the moat and the smoother: pre-committed, prepaid, subscription-like revenue locks in a large share of lift income before the first snowflake, converting a weather-cyclical day-ticket business into something closer to recurring — the single most important reason to credit a premium multiple (Mauboussin: warranted multiple follows the ROIC-minus-WACC spread and growth).
- Weather/climate is the core structural risk, and it is biting now: after one of the worst western-US snow years on record, 2026-27 pass units are tracking down ~10% (days ~-8%, dollars ~-5%) — proof the pass smooths demand but does not immunize renewals against repeated poor snow.
- Scenarios cluster just below spot: the weekly (2.5-year window) time-series models land at ~\$141 (ETS), ~\$149 (ARIMA) and ~\$144 (the new peer-driven ADL) over 26 weeks, and the 12-month Monte-Carlo median is ~\$136 (5-95% span ~\$79-\$230) with only a ~37% modeled chance of finishing above today's price — a mild mean-reversion tilt from an extended level.

Confidence: MODERATE

WORKING PAPER

1 · Sector & industry trends

Vail sits in Consumer Discretionary's Hotels, Restaurants & Leisure corner, where demand tracks the health of the consumer, rate expectations and the post-pandemic durability of 'experiences over things.' Experiential leisure — parks, resorts, cruise lines, live venues — has enjoyed a multi-year premium as consumers prioritized travel and outdoor recreation, but it is cyclically exposed: discretionary trips are among the first cut when real incomes tighten. Within that, the hotel majors (Marriott, Hilton, Hyatt) have re-rated on asset-light, fee-based franchising models that throw off high returns on little capital (ROIC 25-28% here), while the asset-heavy operators that

actually own the venues — parks, cruise lines, timeshare, mountains — trade far cheaper (EV/EBITDA ~10-15x vs ~20x+ for the franchisers) precisely because they carry the real estate, the capex and the operating leverage. Vail is squarely in the asset-heavy camp, so it should be read against parks, cruise and owned-resort economics, not against the capital-light lodging brands whose multiples flatter it.

Trend	Direction	Read for MTN
'Experiences over things' consumer spending	▲ Tailwind	Multi-year shift toward travel, outdoor recreation and destination leisure supports pricing
Subscription / season-pass monetization of leisure	▲ Tailwind	Prepaid passes (Epic, Ikon, gym memberships) smooth demand and pull cash forward
Asset-light franchising premium in lodging	◆ Neutral	Explains why hotel majors trade ~20-25x vs Vail's ~12x — a mix effect, not a Vail discount to fix
Climate change / snowfall variability	▼ Headwind	Warmer winters and volatile snow are the structural threat to ski visitation and renewals
Consumer-spending softness / rate sensitivity	▼ Headwind	Discretionary trips are cyclical; big-ticket ski vacations are exposed if incomes tighten
Pricing power vs. affordability backlash	◆ Mixed	Years of pass price hikes lifted yield but stoked crowding complaints and value-seeking behavior

Table 1 — the trends shaping MTN's markets, and what each means for the company.

2 · What is driving MTN

Vail's stock is driven by three levers: pass sales, snow, and cost discipline. The Epic Pass — Rob Katz's 2008 invention — transformed a weather-cyclical day-ticket operator into a prepaid, subscription-like franchise: a large share of lift revenue is committed before the season starts, which de-risks a single bad-snow winter and pulls cash forward. That model, plus a portfolio of trophy, capacity-constrained mountains (Vail, Breckenridge, Park City, Whistler Blackcomb) whose ski terrain is effectively impossible to replicate under modern permitting, is what earns the ~12.4% ROIC and the premium multiple. Near-term the narrative is self-help: Katz returned as CEO in May 2025 (the stock jumped ~8.7% that day) and is executing a two-year Resource Efficiency Transformation Plan now targeting ~\$106M of annualized cost savings by end-FY2026, which is lifting margins and EBITDA even as skier visits slip. FY2025 illustrated the model's resilience — visits down ~3% yet profit up sharply on price and cost — and the ~5.9% dividend yield is a real income cushion while the operational story plays out. The offset: 2026-27 pass units are tracking down ~10% after a dismal western snow year, so the growth algorithm (price x pass volume) is stalling on the volume side.

3 · Valuation — where MTN should trade

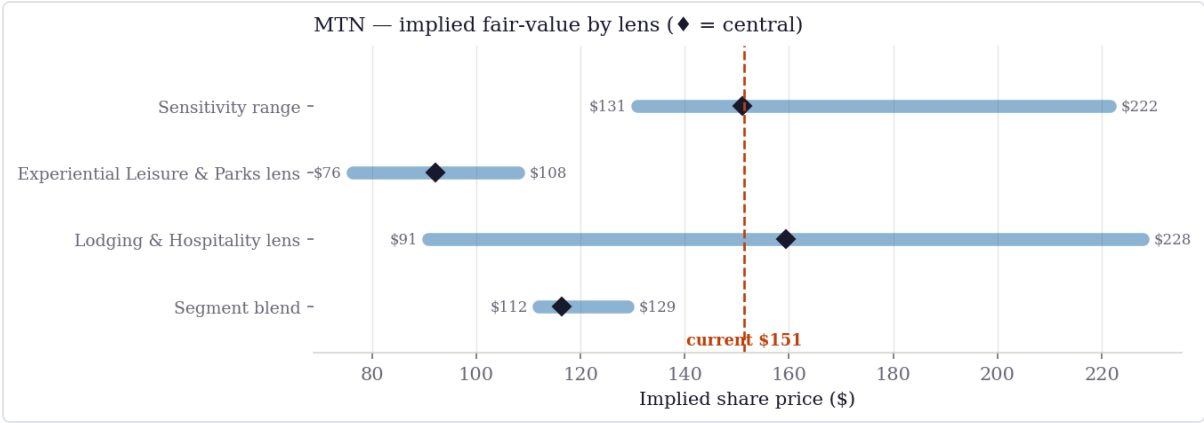


Fig. 1. Implied fair-value by lens; dashed line = current \$151.

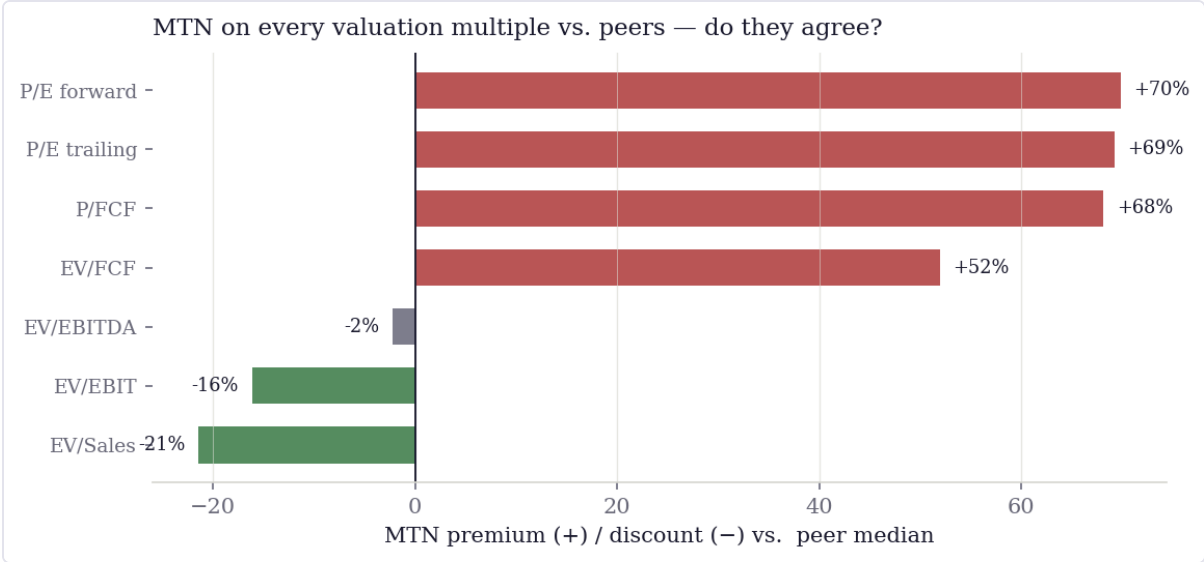


Fig. 2. MTN premium/discount to its subsector peers by valuation multiple.

Metric	MTN	Peer median	Read
P/E trailing	32.64	19.29	+69% expensive
P/E forward	23.96	14.11	+70% expensive
EV/EBITDA	11.61	11.88	in line
EV/EBIT	15.07	17.97	-16% cheap
EV/Sales	3.05	3.89	-21% cheap
P/FCF	40.02	23.80	+68% expensive
EV/FCF	64.12	42.21	+52% expensive
Dividend yield	5.86	1.62	+263% expensive

Table 2 — MTN on every multiple vs. peer median.

Lens	EV/EBITDA	Fwd P/E	implied \$ (EV/EBITDA)	implied \$ (Fwd P/E)
Experiential Leisure & Parks	+22%	+98%	\$108	\$76
Lodging & Hospitality	-24%	+67%	\$228	\$91

Table 3 — segment-relevant peer lenses, premium/discount and implied prices.

Segment-weighted blend: **revenue-weighted \$121, profit-weighted \$112.**

3a · Sensitivity

EBITDA ↓ / mult →	9.8×	11.1×	11.6×	12.4×
\$0.7B	\$101	\$127	\$137	\$152
\$0.8B	\$129	\$158	\$169	\$187
\$0.9B	\$156	\$189	\$202	\$222
\$1.0B	\$184	\$220	\$234	\$257

Table 4 — implied price = (EV/EBITDA × EBITDA – net debt) ÷ shares. Base \$151.

3b · Return on invested capital

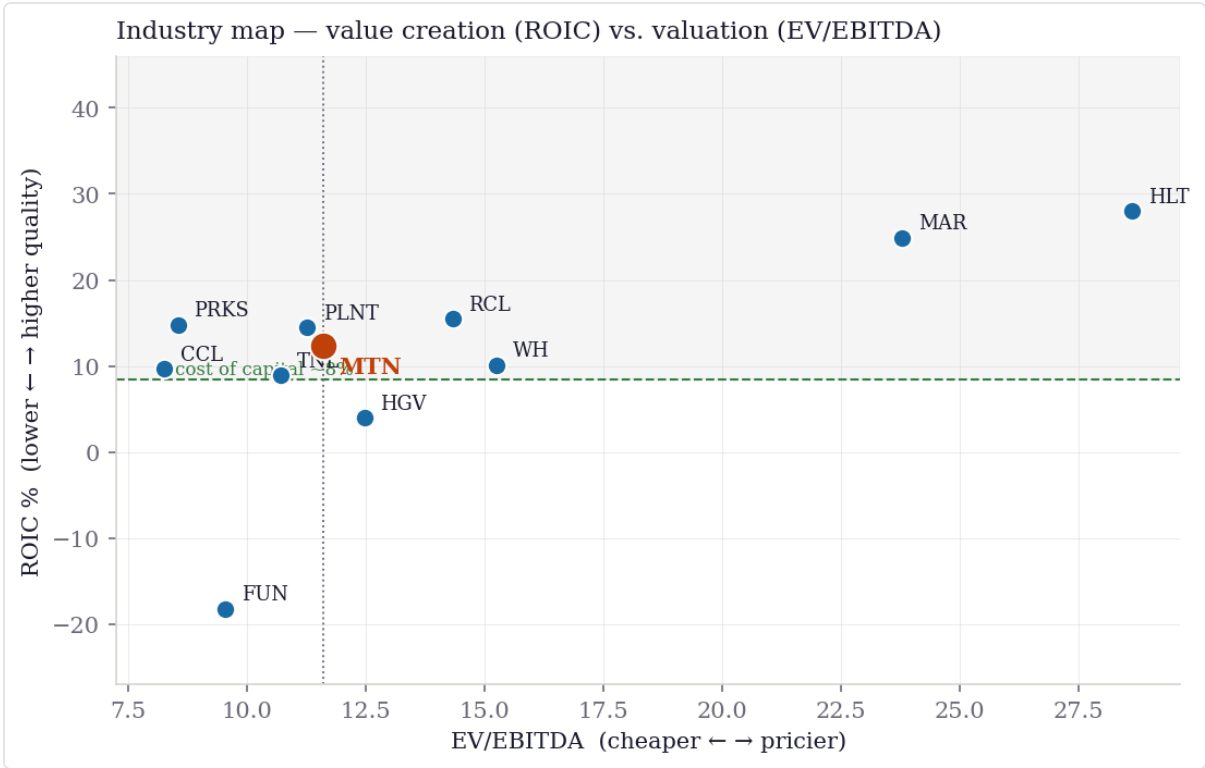


Fig. 3. Value creation (ROIC) vs. valuation (EV/EBITDA). MTN highlighted.

MTN's ROIC is **12.4%** vs. an assumed cost of capital of ~8% — above (value-creating). Per Mauboussin (Morgan Stanley, *Valuation Multiples*), the warranted multiple is a function of the ROIC-vs-WACC spread and growth; a low-return business should trade at a modest multiple until returns improve.

4 · Headwinds

Weather is the wound the whole thesis has to survive. Snowfall variability and a warming climate directly hit visitation, and the current down-cycle in pass units (~-10% for 2026-27, days ~-8%) shows the Epic Pass smooths but does not eliminate the risk — repeated poor snow years erode the renewal base that makes the model recurring. Beyond weather: the business is capital-intensive (lifts, snowmaking, base-area real estate) with high fixed costs and real operating leverage, so soft visitation flows hard to EBITDA. Valuation is full — ~\$151 near the 52-week high, RSI 68.7 and %B 99 flag a technically extended entry, and a 24x forward / 32.6x trailing multiple prices in a recovery even as the cruise-inclusive peer complex trades near 14x forward. Affordability backlash and crowding complaints after years of pass price hikes threaten the volume lever, and Alterra's Ikon Pass is an aggressive, well-capitalized rival. A March 2026 antitrust lawsuit alleging the Epic and Ikon passes are anticompetitive is a fresh legal/regulatory overhang. And the ~5.9% dividend, while attractive, sits on a stretched payout against visitation-depressed earnings — a snow-driven earnings air-pocket would put it under scrutiny.

5 · Technical read



Fig. 4. 3-year price with MA50/200 & Bollinger bands.

Indicator	Reading
MA50 / MA200	\$131.67 / \$134.14 — death cross
RSI(14)	68.7

Bollinger %B	99% (upper \$151.82)
52-week range	\$117.19–\$154.69 (-2% off high)
Realized vol (90d, ann.)	42.3%

Table 5 — technical dashboard.

6 · Price forecast — weekly ETS, ARIMA & ADL (130-week window, 26-week horizon)

Weekly re-basing. Section 6 runs at weekly frequency over the trailing ~2.5 years (130 weeks) with a 26-week (~6-month) horizon, so all three models are estimated on the same window and are internally consistent. Weekly ADF $p \approx 0.051$ (near random walk); weekly return $\sigma \approx 4.09\%$.

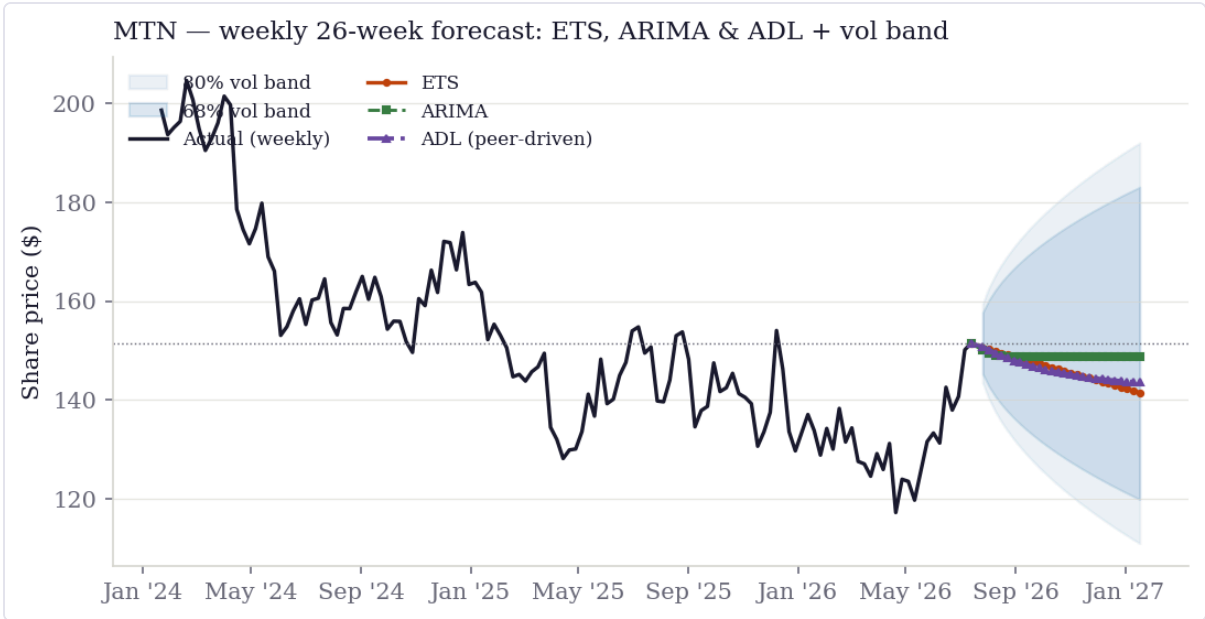


Fig. 5. Weekly 26-week forecast — ETS (trend), ARIMA (near-flat) and the ADL (peer-driven) — with a volatility-implied band.

Horizon	ETS	ARIMA	ADL	68% vol band
~1 mo (4 wk)	\$150	\$149	\$149	\$139–\$164
~3 mo (13 wk)	\$146	\$149	\$146	\$129–\$174
~6 mo (26 wk)	\$141	\$149	\$144	\$120–\$183

Table 6 — weekly point forecasts (ETS, ARIMA, ADL) and 68% volatility band. Scenario anchors, not predictions.

6a · ADL model — a peer-driven forecast

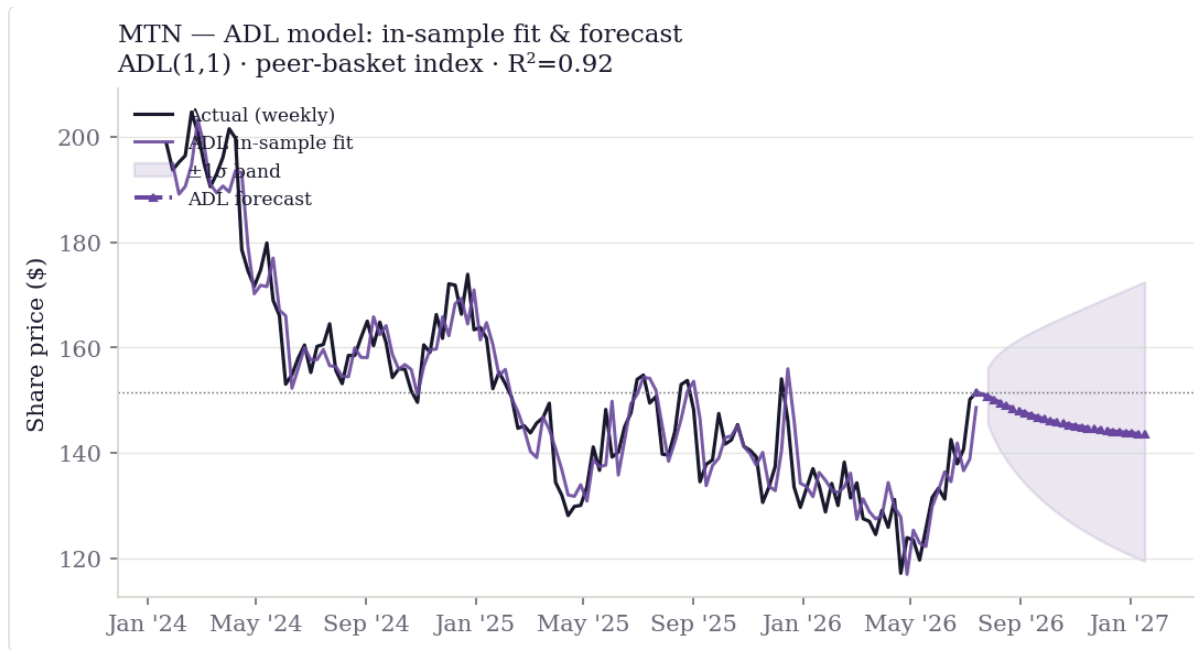


Fig. 6. ADL in-sample fit (purple) vs actual (black) and the 26-week forward path with a $\pm 1\sigma$ band. The peer basket co-drives the price level.

Specification. ADL(1,1) — weekly log price regressed on 1 own lag(s) plus distributed lags (0..1) of the **peer-basket index**. Order chosen by AIC (grid search over exog set {peer, spy, peer+spy} x p in 1..4 x q in 0..2, min AIC); AIC -484.6, BIC -473.1, in-sample R^2 0.917. Peer basket (13 names): CCL, CHH, FUN, H, HGV, HLT, MAR, NCLH, PLNT, PRKS, RCL, TNL, WH. Multi-step exogenous inputs: each exogenous series projected forward by its own fitted AR(1) on log-levels. Interval is $\pm 1\sigma$ (residual $\sigma=0.036$ in log space) scaled by $\sqrt{\text{horizon}}$ — approximate; it omits parameter and exogenous-projection uncertainty.

Reading the ADL. The peer-driven ADL(1,1) is estimated on weekly data over the trailing 2.5 years (130 weeks) and forecasts 26 weeks out. It regresses MTN's weekly log price on one own lag plus the current and one-week-lagged level of a peer-basket index built from the 13-name expanded competitor set (parks, cruise, membership, lodging and timeshare); AIC selected the peer-basket-only specification over SPY and peer+SPY, with an in-sample R^2 of 0.92 — MTN co-moves tightly with the leisure complex. Crucially, multi-step forecasting requires future values of that basket, and the explicit assumption here is that each exogenous series is projected forward by its own fitted AR(1) on log-levels — i.e. the peer complex is carried forward on its recent drift. The ADL therefore answers 'where does MTN drift if leisure behaves as it recently has,' not 'what will snow or pass sales do.' It lands at ~\$144 in 26 weeks ($\pm 1\sigma \approx \$119-\172), between the trend-following ETS (~\$141) and the near-flat ARIMA (~\$149); all three weekly models sit just below the ~\$151 spot, a mild mean-reversion signal from a level near the 52-week high. Weekly ADF $p \approx 0.05$ confirms the series is only marginally distinguishable from a random walk, so treat these as scenario anchors, not predictions.

7 · Monte Carlo & events

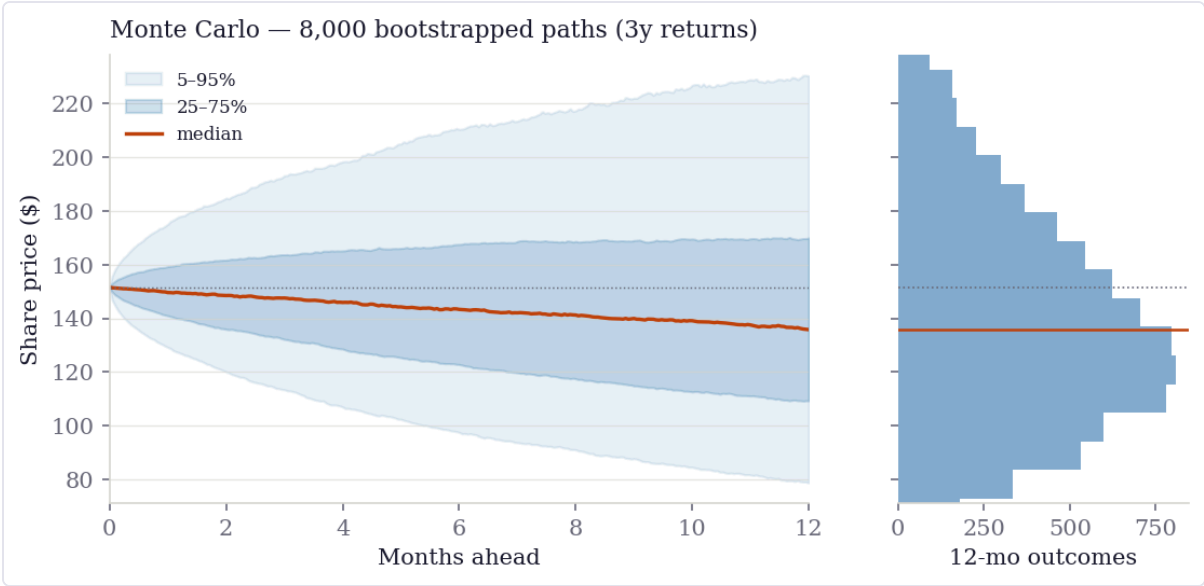


Fig. 7. 10k bootstrapped paths + 12-month distribution.

Horizon	P5	P25	Median	P75	P95	P(>current)
6mo	\$98	\$123	\$143	\$168	\$210	41%
12mo	\$79	\$109	\$136	\$170	\$230	37%

Table 7 — Monte Carlo percentiles (embeds recent drift; driftless null ≈ current price).

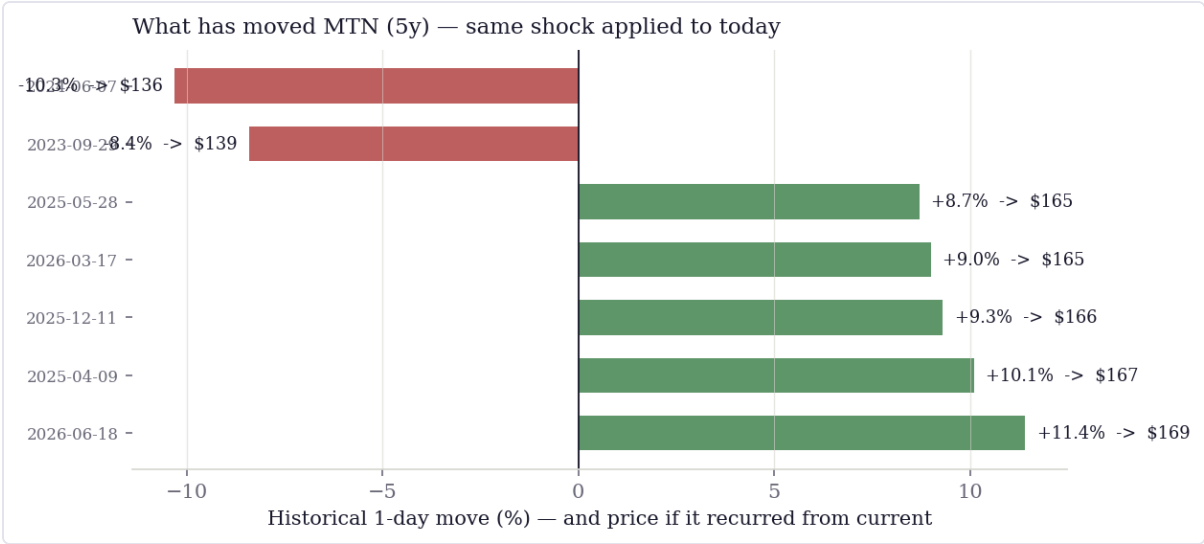


Fig. 8. MTN's largest single-day moves over the past 5 years and the price each would imply from today's \$151.

Date	1-day move	Likely catalyst	If repeated from \$151
2024-06-07	-10.3%	Q3 FY2024 report — soft skier visits / guidance concern, -10.3%	\$136
2023-09-28	-8.4%	Q4 FY2023 report (fiscal year-end) — weak visitation	\$139

29		read, -8.4%	
2025-05-28	+8.7%	Rob Katz reinstated as CEO (announced 5/27); leadership reset, +8.7%	\$165
2026-03-17	+9.0%	Q2 FY2026 report — peak-season results / cost-plan traction, +9.0%	\$165
2025-12-11	+9.3%	Q1 FY2026 report + early pass sales — reassurance, +9.3%	\$166
2025-04-09	+10.1%	Market-wide rally on the tariff-pause; macro, not company-specific, +10.1%	\$167
2026-06-18	+11.4%	Q3 FY2026 report — margin/cost delivery despite soft visits, +11.4%	\$169

Table 8 — the biggest MTN price events (5-year window) and their forward echo. Vail's biggest single-day moves cluster around its quarterly reports and pass-sales updates (fiscal year ends July; the ski season and the market-moving Q2/Q3 prints land in winter and spring), plus the occasional idiosyncratic shock — the +8.7% on 2025-05-28 coincided with Rob Katz's return as CEO, and the +10.1% on 2025-04-09 was the market-wide tariff-pause rally, not a company event. The recurrence prices assume the identical one-day move from today and are illustrative, not forecasts.

8 · Competitive landscape

There is no US public pure-play ski peer, which is why Vail is valued through a broadened experiential-leisure basket (parks, cruise lines, a membership analog) and a lodging/timeshare lens rather than head-to-head. Its true competitor is private: Alterra Mountain Company and its Ikon Pass, owned by KSL Capital Partners and Henry Crown & Company (which also owns Aspen's mountains). The two have effectively duopolized North American mega-pass skiing — for 2026-27 roughly 242 US ski areas participate in Epic, Ikon, Indy or Mountain Collective, with Epic (\$1,089 up) and Ikon (\$1,399 full / \$949 base) the dominant pair and Ikon spanning ~76 global destinations. That concentration is the source of both Vail's pricing power and its new antitrust exposure (the March 2026 suit names both passes). Below the duopoly sit the Indy Pass and independent day-ticket resorts competing on value and localism. For public read-through, the closest analogs are other capital-intensive experiential operators — theme parks (United Parks/PRKS, Six Flags/FUN), cruise lines (Royal Caribbean, Carnival, Norwegian) and vacation-ownership/timeshare (Hilton Grand Vacations, Travel+Leisure) — all bidding for the same experiential wallet and all, like Vail, trading at owner-operator rather than franchiser multiples. The strategic frame: Vail is not fighting for skiers so much as defending a two-player pass oligopoly against weather, affordability fatigue and, now, the courts.

9 · SWOT

STRENGTHS

- Epic Pass: prepaid, subscription-like revenue that pre-commits a large share of lift income and smooths the weather risk

WEAKNESSES

- Capital-intensive, high-fixed-cost model with heavy operating leverage to visitation

and significant weather risk

- Irreplaceable trophy assets — Vail, Breckenridge, Park City, Whistler Blackcomb — with permit-constrained, non-replicable terrain
- Earns above its cost of capital (ROIC 12.4% vs WACC ~8.5%); genuine value creation
- ~5.9% dividend yield — a large income cushion vs a ~1.6% peer median

- Full valuation: ~\$151 near 52-week high, 24x forward / 32.6x trailing P/E, RSI 68.7 / %B 99 (extended)
- Skier visits and pass units declining (~3% visits FY25; ~10% pass units for 2026-27)
- Stretched dividend payout against snow-depressed earnings

OPPORTUNITIES

- ~\$106M Resource Efficiency Transformation cost savings by end-FY2026 lifting margins
- Continued pass-price and product optimization (e.g. new Young Adult 13-30 discount to widen the funnel)
- Global expansion / M&A to diversify snow risk across geographies and hemispheres
- New-CEO (Katz) credibility and capital-allocation reset

THREATS

- Climate change and snowfall variability — the core structural risk
- Alterra / Ikon Pass as a well-funded private rival in a two-player pass war
- March 2026 antitrust litigation over Epic + Ikon passes
- Consumer-spending softness and affordability/crowding backlash eroding the volume lever

10 · Pairs trades to watch

Vail's idiosyncratic snow-and-pass dynamics make relative-value expressions cleaner than an outright position (illustrative, not recommendations). Because the closest true rival (Alterra/Ikon) is private, the sharpest hedges are factor and lens trades. Long MTN / Short a hotel major (MAR or HLT) expresses 'own the moat cheaper': Vail trades at ~12x EV/EBITDA versus ~20-25x for the asset-light franchisers, and pairs its ~5.9% yield against their sub-2% payout — the risk is that owning real assets and snow exposure deserves the discount. Long a parks operator (PRKS) / Short MTN is the value mirror: PRKS shows a comparable ROIC (14.8%) at a lower multiple with no snow risk, so it expresses 'pay for returns, not narrative' if you doubt Vail's premium. The cheap-and-cyclical corner (cruise lines CCL/RCL, timeshare HGV/TNL) trades at lower ROIC and richer forward optionality — a Short MTN / Long CCL trade bets the leisure complex converges. For income-with-hedge, Long MTN / Short PLNT pairs Vail's cheaper, higher-yielding subscription model against Planet Fitness's richly-valued membership analog. Entry note: with MTN extended (RSI 68.7, %B 99, within 2% of the 52-week high and well above its MA50 of ~\$132), the long leg is best added on a pullback toward the moving averages or after a pass-sales/snow catalyst rather than into the current strength; the weekly ETS and ADL paths both already drift toward ~\$141–144.

11 · Next steps

- Build a true segment sum-of-parts from Vail's reported Mountain vs Lodging EBITDA rather

than peer-lens proxies — the Lodging lens still leans on hotel/timeshare comps (~15x EV/EBITDA) and overstates Vail's small owned-real-estate lodging (implied ~\$228 on a 3%-of-profit segment).

- Model explicit snowfall / visitation scenarios (good, normal, drought winter) and flow them through the Epic Pass commitment ratio to EBITDA and the dividend coverage.
- Track the leading indicators directly: cumulative pass-unit and pass-dollar sales vs prior year, effective pass price, and skier-visit trends by region.
- Enrich the ADL: test snow/weather and pass-sales indices as exogenous drivers (vs the current peer basket), add rolling out-of-sample backtesting, and replace the AR(1) exog projection with explicit scenario paths for the peer complex.
- Add a proper CAPM cost of equity and a lease/real-estate-adjusted invested-capital base, then a Mauboussin warranted-multiple bridge to test how much premium the ROIC-WACC spread justifies.
- Replace realized-vol bands with options-implied vol and overlay an event calendar (Q1-Q4 reports, spring/fall pass-sales updates, the antitrust case) for a market-calibrated scenario band.

Scholarly references

The methods rest on an established literature — peer-multiple valuation & comparable-firm selection [1]–[4]; accounting/book-value valuation [5]–[6]; the diversification discount & sum-of-parts [7]–[8]; market efficiency, VAR/time-series and technical/Monte-Carlo methods [9]–[13].

1. Liu, J., Nissim, D., & Thomas, J. (2002). Equity Valuation Using Multiples. *Journal of Accounting Research*, 40(1), 135–172.